

Memory: Our Tech Tour Suggests Intact DRAM

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What's New?

Following our bearish sector notes (i.e., *Supply Chain Managing Memory Cost on July 3*, *AI Platform Value Shift on Aug 6*), memory stocks underperformed. However, our recent supply tour, along with SEMICON 2026, suggests enhanced DRAM outlook, better than feared HBM de-spec but soft NAND. Despite our discontinued memory company coverage (*Aug Edition on Aug 12*), we turn positive on DRAM sector. We also expect NVHBM to shift the design value of base die to Nvidia (NVDA Buy) and MTK (2454 TT Buy).

Comments

DRAM pricing & inventory tracking solid: According to news report about TrendForce on Sept 1, it lifted its pricing expectation for 3Q26 PC DRAM (from +15-20% QoQ to +18-23% QoQ) and maintained server and mobile. Our supply chain research indicates U.S. hyperscaler inventories are low and is likely to be reduced further by end-3Q26 on improving CPU availability. We therefore expect blended DRAM pricing at ~10% QoQ in 4Q26, versus high-teens QoQ in 3Q26.

NAND pricing & inventory tracking soft: We maintain our high-teen QoQ NAND price expectation for 3Q26 but expect softening in 4Q26 to low single-digit QoQ, pressured by weaker mobile demand and elevated mobile/PC inventories. Hyperscaler NAND inventory remains healthy at ~14 weeks (vs. ~15-week normal), but the softer pricing outlook could slow pull-ins.

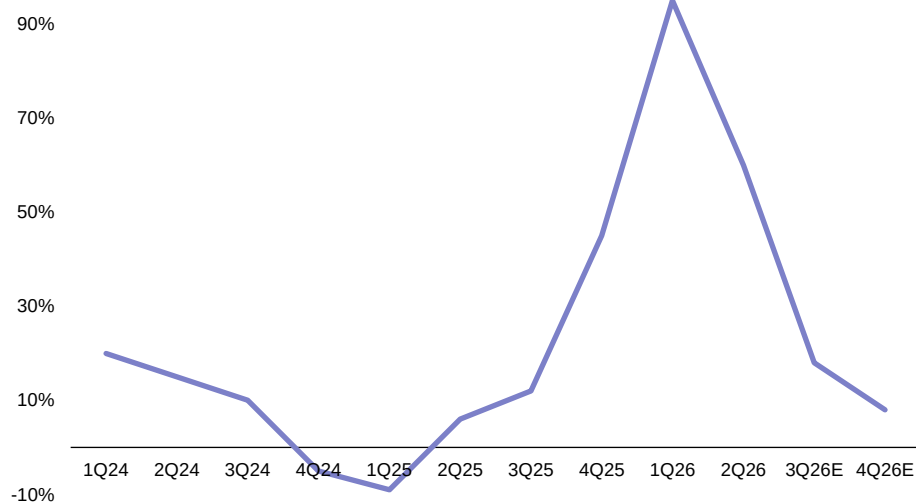
HBM firm, with modest de-spec: Despite debate over moderating price growth vs. AI-driven structural demand, our 2027 HBM view remains constructive given tight supply, aided by Chinese GPU demand, and widening DRAM–HBM price gaps. Pricing of HBM4 is unlikely to finalize until early-4Q26, with three suppliers are asking \$2.9–4.5/Gb, and we expect it to be finalized at \$3.5–4.0/Gb, vs. \$1.8–1.9/Gb for Nvidia in 2026. Spec wise, we maintain our 8-Hi adoption view across Nvidia CPX, TPU Humufish/Triggerfish/Whalefish, and custom MI450. Conversely, we see low probability of 4-Hi GPU variants and now still see the ongoing Rubin Ultra development by both 8-Hi (HBM4, 4E) and 12-Hi/384GB. Yet, SOCAMM de-spec remains, trending toward 64GB by 1Q27.

SEMICON takeaways on HBM & NVHBM: SEMICON 2026 highlighted cHBM, zHBM, with MTK's announcement to cooperate with Nvidia on NVHBM. Samsung is formalizing cHBM4E for workload-specific, targeting 16 TB/s per GPU (4 stacks) on HBM4E and projecting 2× performance for HBM5. Moving beyond 2.5D, zHBM aims for further gains via WoW and hybrid copper bonding. For NVHBM, Nvidia's collaboration with MTK positions the architecture—higher bandwidth, more die area, lower power—for future ASIC adoption, likely starting with Nvidia Feynman. Structurally, NVHBM shifts base-die design value from HBM suppliers toward Nvidia/MTK.

Risks: 1) AI demand slowdown, 2) infrastructure deployment, 3) supply constraints, 4) competition.

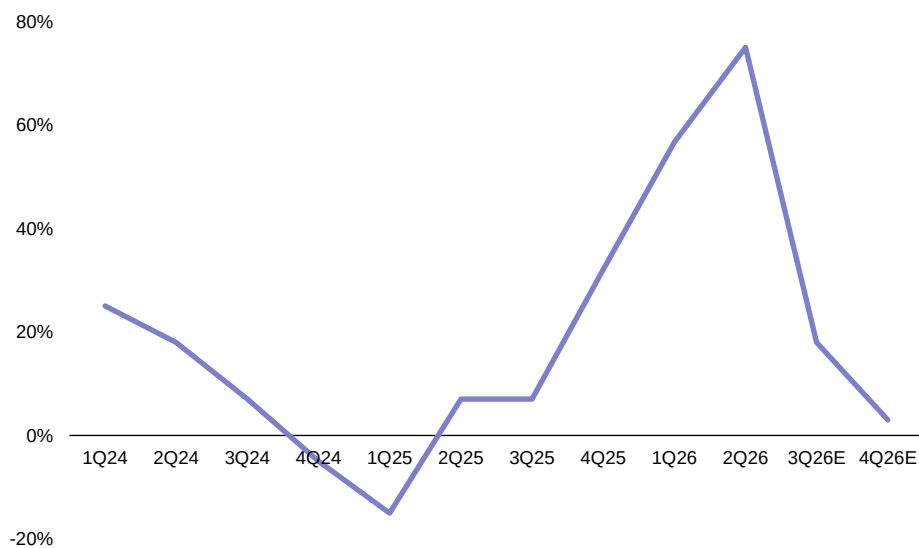
Focus Charts

Figure 1: DRAM Contract Price QoQ Estimates



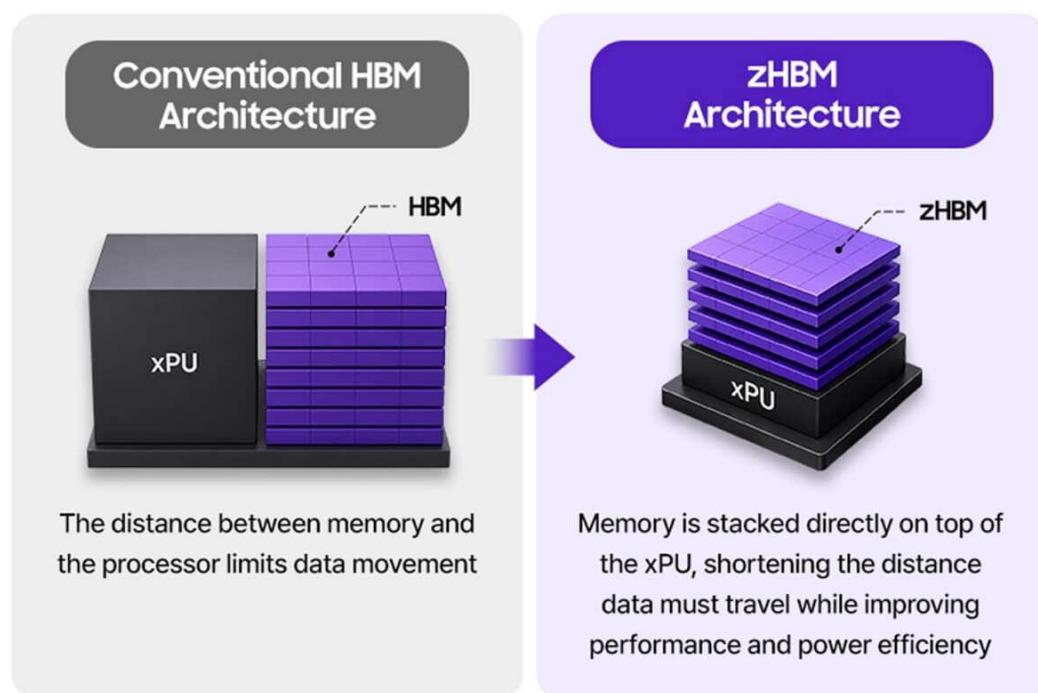
Sources: TrendForce, GF Securities (Hong Kong) Brokerage

Figure 2: NAND Contract Price QoQ Estimates



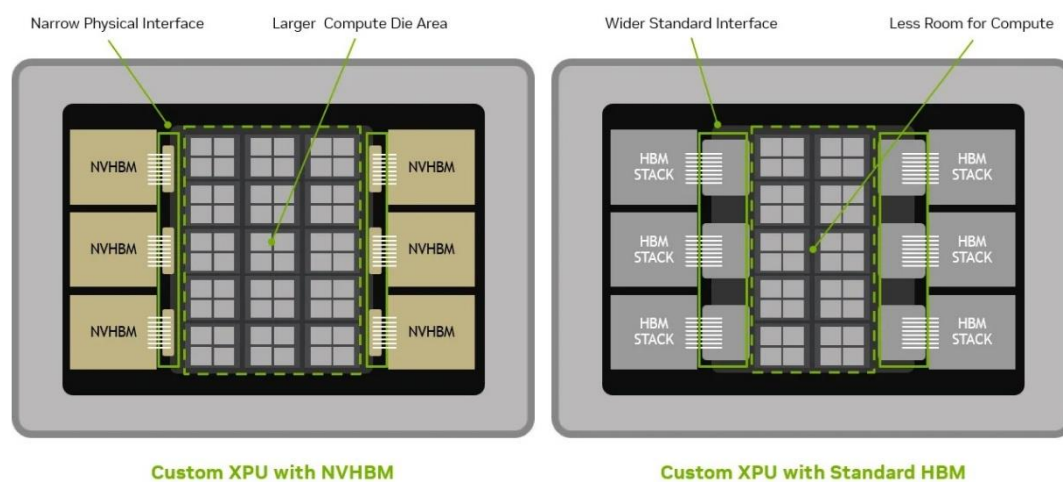
Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Samsung's zHBM



Sources: Samsung, GF Securities (Hong Kong) Brokerage

Figure 4: NVHBM vs. Standard HBM



Sources: Nvidia, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand slowdown, 2) infrastructure deployment, 3) supply constraints, 4) competition.

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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